



The US pivot on regulating AI diffusion

To cite this article: (2025) The US pivot on regulating AI diffusion, Strategic Comments, 31:10, v-viii, DOI: [10.1080/13567888.2025.2605872](https://doi.org/10.1080/13567888.2025.2605872)

To link to this article: <https://doi.org/10.1080/13567888.2025.2605872>



Published online: 16 Dec 2025.



Submit your article to this journal [↗](#)



Article views: 287



View related articles [↗](#)



View Crossmark data [↗](#)

The US pivot on regulating AI diffusion

Donald Trump's announcement of a one-year waiver on the export of Nvidia's H200 chips to China marks a sharp turn away from Joe Biden's 'small yard, high fence' approach to AI controls.

“*The administration's willingness to accept the security risks associated with H200 exports suggests an underlying judgement that preserving a fixed technological lead should no longer be the primary goal of US policy, and that the real contest lies in shaping global diffusion and market share rather than in defending marginal advantages in model capability.*”

On 8 December 2025, United States President Donald Trump announced a one-year waiver of export restrictions on Nvidia's H200 chips, which are used in data centres for artificial intelligence (AI). Trump's decision will give Chinese firms legal access to Nvidia's Hopper chip line, its second-most advanced after Blackwell, marking a notable expansion in Washington's willingness to permit advanced AI hardware to reach the markets of potential adversaries.

The H200 decision followed another notable action, on 13 May, when the administration announced it would rescind former president Joe Biden's 'AI diffusion' rules, which were poised to take effect that month. Those rules were announced in mid-January as Biden was preparing to leave office. The reasons for the Trump reversal were outlined in a document published by the US Department of Commerce, which argued that Biden's rules 'saddled companies with burdensome new regulatory requirements' that would stifle American innovation and impede efforts by American companies to capture and grow their international market share.

Taken together, the May rollback and the December waiver mark a sharp pivot away from Biden's security-first strategy towards a more transactional model of AI diffusion, in which export controls are tightened or relaxed to secure commercial gains in the hopes of securing longer-term geopolitical advantage. The Biden framework had sought to codify access to advanced US chips through standing rules and tiered country classifications; Trump has instead treated controls as bargaining instruments. At the same time, Beijing's drive for semiconductor self-reliance and the emergence of domestic chip alternatives such as from Huawei's Ascend ecosystem raise doubts about how far the temporary opening of more-advanced chips will translate into lasting technological dependence on

the US. The administration's willingness to accept the security risks associated with H200 exports suggests an underlying judgement that preserving a fixed technological lead should no longer be the primary goal of US policy, and that the real contest lies in shaping global diffusion and market share rather than in defending marginal advantages in model capability.

The Biden regulations

A week before leaving office in January 2025, Biden released the Framework for Artificial Intelligence Diffusion, which was the administration's final move in advancing its 'small yard, high fence' approach to protecting strategic technologies. This approach called for the government to define narrowly the most critical technologies necessary for the US to maintain a global lead in cutting-edge AI and to use export controls to stop countries – particularly China – from accessing those technologies.

The AI diffusion framework divided the world into three tiers, with Washington determining the appropriate level of access to US-origin chips, particularly advanced graphics processing units (GPUs), for each. Tier 1 countries would enjoy unrestricted access to AI chip exports, including Nvidia's Hopper and Blackwell lines. This group of 18 included some NATO allies, Five Eyes members, Ireland and three others playing a critical role in the global chip supply chain – Japan, South Korea and Taiwan.

Tier 2 would apply to countries outside this core group that were not considered adversarial or likely to serve as conduits for controlled goods to reach China. This group would receive controlled access to advanced chips, with ongoing oversight of exports performed by the US Department of Commerce's Bureau of Industry and Security, and the option of becoming a more trusted partner via a complex 'validated end user' scheme. Some NATO member

countries, such as Portugal, Turkiye and those in Eastern Europe, were included in this tier, along with the Arab Gulf states, India, Mexico, the Philippines and Singapore, and expressed unhappiness that they would not have open access to Hopper and Blackwell chips.

Lastly, Tier 3 countries would effectively be banned from acquiring advanced American AI chips and other strategic technologies. This group included China, Iran, Myanmar, North Korea, Russia, Syria and Venezuela.

Nvidia, the dominant supplier of advanced AI chips used in data centres worldwide, responded to earlier Biden export controls issued in October 2022 and 2023 by introducing a downgraded Hopper variant, the H20, which was designed with reduced performance and data bandwidth to fall below regulatory thresholds. This chip, aimed at the Chinese market, became commercially available in mid-2024. Under Biden's diffusion framework, H20 sales would have required additional licensing for Tier 2 states and would have been barred entirely for those in Tier 3. But since the diffusion framework never went into force, H20 sales to Beijing have been unrestricted. Beijing nonetheless took steps after Trump's May policy shift to strongly discourage large-scale H20 purchases, arguing that reliance on US-origin chips would create long-term strategic vulnerabilities. In July 2025, US Secretary of Commerce Howard Lutnick defended the administration's approach by saying that US firms should 'sell the Chinese enough that their developers get addicted to the American technology stack' – a remark that likely reinforced concerns in Beijing about entrenching dependence on US hardware.

Trump's transactional pivot

Even after the shift away from Biden's rules-based framework, many in Washington assumed that some hard limits would remain for security reasons. The commerce department's '50% rule', adopted on 29 September, appeared to confirm this. It holds that any foreign entity owned 50% or more by a 'listed firm' is automatically subject to the same export restrictions as that firm, closing off the possibility that Chinese groups could sidestep controls by routing orders through majority-owned affiliates or joint ventures. On its face, the rule suggested that Trump's more transactional approach would still enforce clear limits on technology leakage.

But following a bilateral meeting in Busan, South Korea, between Trump and China's President Xi Jinping on 30 October, the Department of Commerce announced it would waive the 50% rule for affected Chinese companies for a period of one year, effective 10 November 2025. In return, China agreed to delay

the introduction of export controls on rare earths for the same timeframe.

On 8 December, Trump's approach was again evident in the reversal of export controls on the H200 chips, a second one-year concession. Unlike the H20, which had been specifically engineered to comply with earlier limits, the H200 is a full-performance Hopper chip and is nearly six times more powerful. By allowing its sale for a defined one-year window, Washington effectively removed the barrier that had previously prevented China from assembling large-scale GPU clusters based on advanced Hopper chip architecture. In exchange for granting the waiver, the US Department of the Treasury will receive a cut of Nvidia's and also AMD's revenues from sales to Chinese entities – 15% for most chips and 25% for advanced chips. Hopper-class chips still power many of the world's leading AI clusters and, because H200s and next-generation Blackwell chips draw on the same scarce high-bandwidth memory and logic capacity, any sizable Chinese uptake would directly reduce the supply available to American and allied firms. But it remains unclear whether China will allow the importation of H200 systems, and at what rate. As with the H20, Beijing may discourage purchases to avoid undermining its semiconductor self-reliance agenda.

More generally, in the shift from Biden to Trump, the US policymaking process surrounding AI diffusion has shifted away from civil servants and congressional oversight towards the White House and the president's inner circle of cabinet officials and advisers. They have preferred to formulate many aspects of AI policy privately and in close consultation with Silicon Valley CEOs. Nvidia Chief Executive Jensen Huang has been particularly prominent, traveling to Washington multiple times in 2025 to argue that strict export controls will not prevent China from advancing but will instead push it towards domestic suppliers, and that it is better for US interests if Chinese firms remain dependent on US-designed chips.

The Biden administration's strategy was more focused on the national-security risks of cutting-edge technology leakage to China and on embedding security standards as a condition of export agreements. It feared that providing uncontrolled technology access to even some allied nations would create more avenues for this technology to reach China, possibly allowing it to bypass years of research and development and leapfrog the US to a position of parity or superiority. Biden's rules-based approach was in some ways more conducive to international coordination through existing frameworks and security partnerships. For example, Pillar 2 of the AUKUS security partnership, which involves Australia and

the United Kingdom, provides a framework for sharing AI-related technologies within the group.

The Trump administration's policies, many of which reflect the long-held views of White House AI czar David Sacks, are based on a more aggressive, market-oriented approach that prioritises the speed of diffusion and achieving market dominance as near-term goals. This approach seeks to situate US-made software and hardware as the global standard, making it costly for allies, partners and non-aligned countries that purchase this technology initially to later reverse course and buy from China. This would, in theory, create a competitive beachhead, and the risk of some technology leaking is accepted as a cost of doing business to achieve the larger strategic goal of ecosystem dominance. Implicit in this view is a scepticism that frontier AI models can be fenced off for long: architectures and training methods diffuse quickly, and open-source releases steadily erode any fixed time advantage. From this perspective, trying to preserve a stable lead of a year or more over Chinese capabilities is less realistic than locking in global users, developers and data flows to a US-centred stack. This strategy assumes that the US can innovate, deploy and sell AI technology faster than China can copy it or roll out its own products. Notably, however, the leakage of American-controlled AI and increased access to open-sourced AI innovations has been accelerating China's competitiveness in recent years.

China's response: Huawei and indigenisation

The resurgence of the Chinese firm Huawei, despite years of US sanctions aimed at crippling its

supply chain, has underscored the limits of choke-point controls alone. The firm has attempted to become a fast follower in producing cutting-edge technologies released first in the West. It aims to create good-enough equipment domestically for AI use while seeking to export turnkey systems to emerging markets. This has sharpened Washington's recent push to export American and allied AI capabilities more quickly and widely. Huawei currently has 5G operations and infrastructure in over 170 countries, and it is playing a leading role in advancing China's indigenous semiconductor capabilities.

Huawei's Ascend-series chips were designed to compete with and eventually replace Nvidia's in the Chinese market. Recent developments involving 'superclusters' of Ascend chips have made international headlines, with claims that Huawei's chip superclusters outperform Nvidia's AI chips on some measures. In this context, access to full-performance H200s is strategically significant: their higher-bandwidth interconnects and larger memory footprints allow China to scale models across far larger GPU clusters than was possible with the downgraded H20. Beijing's support for Huawei's Ascend programme reflects this strategic priority: building an end-to-end domestic AI-computing stack that reduces exposure to US supply decisions. In hopes of limiting Huawei's export potential outside of China, the commerce department in May notified private firms that using Huawei's Ascend 900-series chips and other Chinese-made chips would likely constitute a violation of US export controls.

Outlook

The race to embed American firms and technologies into the nascent AI infrastructure of US partner countries is accelerating and driving increased attention to this issue in Washington. Policies towards AI diffusion are likely to remain highly fluid, and the administration's approach will continue to generate volatility for both governments and firms as export controls are imposed, modified or lifted to secure political or commercial leverage. This model has already blurred the line in some areas between foreign policy and corporate advocacy, creating an environment in which US technology companies operate in part as instruments of national influence. The planned expiry of both the 50%-rule waiver and the H200 export allowance in late 2026 will force Washington to decide whether these concessions become precedent or remain exceptional measures.

Congressional scrutiny of this issue is likely to increase given the broad, bipartisan consensus among legislators – even if quietly among Republicans – that allowing the export of Hopper-class chips to China presents a security risk. In May 2025, a draft Chip Security Act was introduced in the Senate and House of Representatives mandating new capabilities for tracing and verifying the movement of semiconductors through global supply chains. Leading US firms are investing in next-generation tracking technologies, including so-called quantum-dot identifiers and telemetry that allow for remote verification – and, in some cases, remote disabling – of deployed chips. If effective, these monitoring systems would strengthen the logic of Trump's forward-leaning diffusion strategy by giving Washington greater confidence that leakage of Blackwell and future

chips can be managed through technical means rather than regulatory restraints. Yet their impact on the current H200 waiver may be limited: Beijing may choose to restrict H200 acquisitions to avoid increasing reliance on US suppliers, which could blunt the practical effect of Washington's one-year concession. Beijing's response to the H200 opening in 2026 will be read closely in Washington, shaping whether the episode is cited as evidence for the viability of controlled diffusion or as a cautionary tale that strengthens the case for tighter, statute-based limits.

If the 2026 midterm elections return a Democratic majority to one or both houses of Congress, a reassessment of the administration's AI diplomacy is likely given the wide mandate the opposing party will have for investigations and

oversight. Critics in both parties have questioned whether short-term commercial gains justify the potential long-term erosion of control over critical technologies. That unease is already reflected in other draft laws such as the GAIN AI bill, which would give US firms priority access to leading-edge chips before export licences are granted by the commerce department. The proposed Secure and Feasible Exports (SAFE) Chips Act would harden and codify elements of the export-control regime, narrow the scope for ad hoc waivers such as the H200 concession and move decision-making authority closer to the defence establishment. Neither bill is likely to pass in its maximal form, but key provisions may ultimately be folded into broader technology or defence legislation rather than enacted as stand-alone laws.

